IN THE HIGH COURT OF JUDICATURE AT BOMBAY
CRIMINAL APPELLATE JURISDICTION

CRIMINAL WRIT PETITION NO. 2211 OF 2022

Ramesh Kisanrao Wagh ...Petitioner

VERSUS

1. Sai Krupa Enterprises, through its Proprietor Mr. Dilip Arjun Sonawane ...Respondents
2. The State of Maharashtra

Mr. Pranav R. Phadke for the Petitioner.
Mr. Vikrant D. Pawar for Respondent No.1.
Mr. S. R. Joshi, APP for Respondent No.2-State.

CORAM : MRS. ANURADHA V. MHATRE, J.
DATE : 19th January 2023.

JUDGMENT:

1. Heard Mr. Phadke, learned counsel for the petitioner, Mr. Pawar, learned counsel for Respondent No.1 and Mr. Joshi, learned APP for the State.

2. The petitioner is the accused in Summary Case No. 1471 of 2021 pending on the file of the learned Judicial Magistrate First Class, Nashik, under Section 138 of the Negotiable Instruments Act, 1881 ("NI Act"). By the impugned order dated 12.09.2022 the learned Magistrate, on the petitioner pleading not guilty, directed him to pay interim compensation of Rs.1,70,000/-, being twenty per cent of the cheque amount of Rs.8,50,000/-, under Section 143A of the NI Act.

3. Mr. Phadke submits that the use of the word "may" in Section 143A shows that the power is discretionary, that the Magistrate has to weigh the defence taken, and that the petitioner, a small farmer, has no means to pay such an amount. He relies on the decision of the Delhi High Court dated 27.09.2022 in Kartar Singh Malhi v. M/s Gurukripa Finance & Investment Co. (Crl.M.C. 1902/2022).

4. Mr. Pawar, learned counsel for Respondent No.1, submits that the Magistrate has recorded reasons, that the defence of the petitioner is a bare denial, and that the interim compensation is refundable with interest in the event of acquittal.

5. The question is whether the power under Section 143A of the NI Act to direct interim compensation upon the accused pleading not guilty is mandatory or directory.

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6. Section 143A(1) states that the Court trying an offence under Section 138 “may” order the drawer to pay interim compensation. The language is not that of command. The legislature has left the matter to the judgment of the trial court, and has fixed only the outer limit of twenty per cent of the cheque amount in sub-section (2).

7. I am of the view that Section 143A(1) of the Negotiable Instruments Act, 1881 is directory and not mandatory, and that the Magistrate has a discretion which must be exercised judicially; ordinarily, where the drawer raises no prima facie bona fide defence, that discretion should be exercised in favour of the complainant.

8. I respectfully concur with the view of the Delhi High Court in Kartar Singh Malhi (supra) that the Magistrate must advert to the nature of the defence and the circumstances of the drawer before passing such an order. In the present case the learned Magistrate has noted that the defence is a bare denial. The order cannot be said to be perverse.

9. However, having regard to the fact that the petitioner is a small farmer and that the amount is payable before trial, I deem it appropriate to reduce the interim compensation from twenty per cent to ten per cent, that is Rs.85,000/-, payable in four equal monthly instalments commencing 15.02.2023.

10. The petition is partly allowed in the above terms. Rule is made absolute accordingly.

(MRS. ANURADHA V. MHATRE, J.)

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